Executive memo: was recovery really up 11% month-on-month?

To: Leadership team **From:** Data Analytics **Date:** 27 Oct 2026 **Data:** 1 Jan to 8 Aug 2026, 17 source tables

Bottom line

No. Recovery did not improve. The reported +11% is March (31 days) compared with February (28 days). The calendar adds 10.7 points on its own. Per calendar day, net recovery moved **-0.1%** (95% CI about -7% to +8%, p = 0.98) and has been flat from January to July at roughly **₹55 lakh a day** (₹202 Cr annualised). The number is reproduced exactly: summing every SUCCESS payment row by calendar month gives +10.99% for March.

What happened

	Reported	Independent
Mar vs Feb recovery	+11.0%	**-0.1% per day** (+10.6% before the per-day adjustment)
Contact rate	up	flat at 19.4-20.5% every month
Recovery per agent-hour	n/a	flat, ~₹15-16k
PTP kept rate	~50%	**4.8% verified by actual payments**
Duplicate payments	none	500 replayed rows, ₹3.8 Cr (inflates gross SUCCESS by 2.0%, evenly each month)

Cleaning (duplicates, reversals, IST time zones) moves the monthly figures by under 1 point. The calendar effect is the whole story. Three other reporting practices also mislead: "ACTIVE accounts only" denominators (75% of payers sit on accounts marked closed/paid/written-off, so the filter drops most of the base); crediting the latest campaign (33% of the time that campaign started after the payment); and PTP status as a proxy for cash.

Why it happened, and what did *not* cause it

We tested portfolio mix (DPD, loan type, risk segment, vintage), client geography (state; language is not in the data), agent, agent tenure, campaign, channel, vendor, hour of day and attempt number. **None is significant after multiple-testing control**; agent-to-agent spread is exactly what chance produces. The targeting-strategy change shows no detectable effect (difference-in-differences -0.04 pp, 95% CI ±0.5 pp). After any outreach, a borrower's 7-day payment probability (1.6-1.9%) equals the 1.9% of an arbitrary account-day: **no channel shows measurable incremental recovery.**

How confident are we

High (fact): the headline is a calendar and duplication artefact; the data-quality issues listed above. **Strong evidence:** no mix shift, no driver effect, no targeting effect (these rule out *large* effects only; the ±0.5 pp interval cannot exclude a +13% relative lift). **Hypothesis:** tenure (agent dates conflict), vendor timezones, and anything needing language or dated balances, which the data lack.

What we should do

Invest the ₹10 Cr in better borrower targeting (option 4), released in stages. More agents, telephony, AI voice, WhatsApp and field all buy more touches, and measured value per touch is about zero; 54% of calls already fall outside 08:00-19:00 IST, so more calling would amplify a compliance risk. Targeting is the only option whose cost does not scale with touches, and it builds the missing capability: a randomized holdout that measures incremental recovery. Current features (DPD, risk, balance) have no predictive power for payment (pseudo-R^2 0.0003), so the money must buy new signal (bureau/alternative data, best-time and contactability data) and experiment infrastructure. **Release ₹1.5 Cr for a 90-day holdout; release ₹8.5 Cr only if measured lift reaches break-even.**

Expected financial impact (assumption-driven, low confidence)

Scenario (lift on ₹202 Cr annual recovery)	Probability	12-month incremental	ROI 12m	ROI 36m
Downside: 0% (what the data show today)	50%	₹0	-100%	-100%
Base: +3%	35%	₹6.1 Cr	-39%	+83%
Upside: +8%	15%	₹16.2 Cr	+62%	+386%
Probability-weighted, full ₹10 Cr		**₹4.6 Cr**	**-54%**	**+37%**
Staged plan (gate at 50%)		₹4.6 Cr on ₹5.75 Cr expected spend	-21%	loss capped at ₹1.5 Cr

Break-even lift is 4.9% of annual recovery in 12 months, 1.6% over 36 months. The lifts are assumptions because the data contain no measurable lift to anchor on; the holdout replaces them (about 40,000 account-days per arm detect +10%). Recovered rupees are valued at 100%; at a 10% commission the revenue break-even is ten times higher, which is why the spend is gated.

Do now

1. Retire the +11% metric; report recovery **per calendar day with a confidence interval**. 2. Deduplicate payments on `payment_id` at ingestion (not on `payment_reference`, which is reused). 3. Compliance review of calling hours. 4. Reconcile PTP status to payment events. 5. Capture cost, language, and dated balances.